
**The Federal Trade Commission** is based in Washington, DC. It moved to its headquarters in 1938, and the building is famed for its Art Deco sculptures and reliefs.

At the same time, the Federal Trade Commission Act was passed, widening the scope of competition law to ban "unfair methods of competition" and unfair acts that affect commerce. This was designed to protect the consumer by making sure businesses did not make false claims about their products or mislead the consumer. The Act also established the Federal Trade Commission to regulate business and oversee antitrust law and made it clear that any violation of the Sherman Act would also violate the Federal Trade Commission Act.

The historic Sherman Act, Clayton Act, and Federal Trade Commission Act continue to form the cornerstone of US antitrust laws today and have proved a blueprint for effective competition laws across the globe. Europe did not collectively tackle competition laws until 1957, when the Treaty of Rome created the European Economic Community (as the European Union was initially known). With the founding of the Common Market in 1992, it became necessary to make sure roughly the same competitive opportunities existed throughout Europe, adopting regulations that applied across all member states of the European Union.

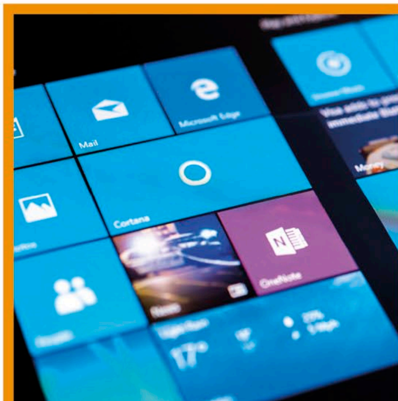
The validity of existing antitrust legislation came under scrutiny in 1998, when the US Department of Justice (DOJ) filed antitrust charges against Microsoft. The DOJ argued that the way in which Microsoft bundled its web browser Internet Explorer into its operating system made it difficult for consumers to run other browsers on a Windows computer. This, they stated, was effectively a monopoly that hampered fair competition.

> Though American businessmen may sometimes complain about the interpretation or administration of [antitrust] laws, we know that—like spinach—they are good for us.
>
> **Henry Ford II**
> **American businessman (1917–1987)**

## Digital dominance

The DOJ eventually won its case, and Microsoft was ordered to split into two companies. However, on appeal the ruling was amended, and the company was allowed to stay whole.

The high-profile case may not have affected Microsoft's dominance, but competition in the shape of Mozilla Firefox and Google Chrome saw Microsoft lose its market majority. Some argued that this proved that the market corrects itself, making antitrust laws redundant. However, the continued growth of large technology firms such as Google and Facebook has raised fresh questions over digital monopolies and the need for more regulation. ■




**When Microsoft fell foul** of American antitrust laws in 1998 over bundling its web browser with its operating system, the company argued they were both part of the same product.